

Owner Compensation Plan

What To Pay Yourself From The Business

July 5, 2026

Contents

EXTRA CLEAN AUTO DETAILING

Owner Compensation Plan

WHAT TO PAY YOURSELF FROM THE BUSINESS · PHASED APPROACH

01 The honest answer to your question

You asked whether \$100,000 JMD per month is reasonable to pay yourself from the business. The straight answer is — not yet.

In Phase 1 with one operator and 10–13 jobs per month, your projected net detailing profit before owner pay is approximately \$50,000–\$75,000 JMD monthly. Paying yourself \$100,000 from a business that generates \$60,000 means the business loses money every month. That's not a salary — that's draining the business to fund your lifestyle.

THE PRINCIPLE

An owner's salary should be sustainable — paid from real profit, not from cash that should be funding equipment, reserves, and growth. Pay yourself less now so you can pay yourself far more later.

02 Phased compensation approach

Owner compensation should grow with the business. Each phase has a salary range that reflects what the business can sustainably support without compromising growth.

PHASE	MONTHLY NET PROFIT	OWNER SALARY	REINVEST	% SALARY
Phase 1 — Solo (Year 1)	\$50k–\$75k	\$25k–\$35k	\$25k–\$40k	~50%
Phase 2 — First hire (Year 2)	\$90k–\$140k	\$50k–\$70k	\$40k–\$70k	~50%
Phase 3 — Multi-team (Year 3)	\$130k–\$200k	\$80k–\$120k	\$50k–\$80k	~60%
Phase 4 — Fleet (Year 4–5)	\$180k–\$280k	\$130k–\$200k	\$50k–\$80k	~70%

HOW TO READ THIS

In Phase 1, take roughly \$30k from the business as personal income. Reinvest the remaining profit into reserves and equipment. As the business grows in Phase 2, your salary roughly doubles. By Phase 4 you're comfortably above your target \$100k — and the business is funding it sustainably.

03 Why starting lower works in your favour

Taking less salary in Phase 1 isn't a sacrifice. It's the strategic move. Here's why:

YOUR FIREFIGHTER SALARY COVERS YOUR LIFE

You earn approximately \$250,000 JMD monthly from your primary job. That covers rent, food, utilities, family obligations, and existing loan repayments. Your detailing income is supplemental — not the foundation of your livelihood.

This means you have the rare luxury of not needing the business to pay you fully right now. Use that. Pay yourself enough to feel rewarded for the effort but leave the business with the capital it needs to grow.

REINVESTED PROFIT COMPOUNDS DRAMATICALLY

\$30,000 reinvested monthly in Year 1 becomes \$360,000 in business reserves and equipment by year-end. That funds your second pressure washer, your water tank, your insurance, and contributes to the next vehicle. Without that reinvestment, the business stays small forever.

THE MATH AFTER YEAR 2

By Phase 2 your business salary alone reaches \$50k-\$70k monthly. Combined with your firefighter income, your total monthly compensation crosses \$300k-\$320k. By Phase 3, your business salary alone is \$80k-\$120k. By Phase 4 it's \$130k-\$200k — meaning the business alone supports a comfortable life and your firefighter salary becomes either savings or eventually optional.

THE TRADE-OFF

Take \$30k now to enable \$130k+ later. Take \$100k now and the business never grows enough to pay you anything sustainable. The patient choice always wins.

04 How to structure your owner payments

How you take money out of the business matters as much as how much. Get this structure right from the start.

SET A FIXED MONTHLY DRAW

Decide on a specific amount — say \$30,000 in Phase 1 — and pay yourself that exact amount on the same date every month. Treat it like a salary, not a withdrawal. Predictable. Disciplined.

PAY YOURSELF FROM A SEPARATE BUSINESS ACCOUNT

All client payments go into a dedicated personal-but-business account. Your monthly salary transfers from that account to your personal everyday account on payday. This single discipline creates clean tracking and prevents the constant temptation to dip into business funds for personal spending.

DON'T TAKE AD-HOC BONUSES IN PHASE 1

If you have a great month and the business clears \$90,000 instead of \$60,000, the temptation is to pay yourself extra. Resist it. Let surplus build into reserves until you have at least 2 months of fixed business expenses banked. Then revisit.

INCREASE SALARY AT DEFINED MILESTONES

Don't increase your salary because you feel like it. Tie increases to specific business milestones:

- 3 months of consistent revenue at the next phase target → consider salary increase
- First successful hire and proven additional capacity → move to Phase 2 salary
- Cash reserves equal to 2 months of expenses → eligible for first significant raise
- Each new vehicle generating profit consistently → progressive salary increase

05 Reality check on your specific situation

You have existing debt obligations consuming roughly \$31,000 monthly currently. You're working toward acquiring a work vehicle that may add \$15,000 monthly in financing if you go the loan route. You need to build cash reserves and equipment funds simultaneously.

In this context, taking \$100k from the business in Phase 1 would mean:

- Business operates at a loss every month
- No money to fund equipment upgrades
- No reserves to absorb a slow month or unexpected expense
- Vehicle fund growth slows dramatically
- Eventually the business fails and the income disappears entirely

Taking \$30k from the business in Phase 1 would mean:

- Business operates profitably every month
- Equipment fund grows steadily
- Reserves build month over month
- Vehicle fund tracks toward its target
- By Phase 2 your salary doubles to \$50k-\$70k
- By Phase 4 your salary is \$130k-\$200k — far above your original target

06 Recommended starting compensation

PHASE 1 RECOMMENDATION JMD \$30,000 monthly WHAT THIS MEANS

\$30k owner salary + \$250k firefighter salary = \$280k total monthly income
Business retains \$20k-\$45k monthly for reinvestment, reserves, and growth
Sustainable. Disciplined. Sets up Phase 2 salary doubling within 12 months.

07 When to revisit this

Review your owner compensation every 6 months. Specifically:

MONTH 6 REVIEW

Has the business consistently generated \$50k+ in monthly net profit for the last 3 months? If yes, consider increasing salary to \$35k-\$40k. If no, hold at \$30k.

MONTH 12 REVIEW

Are you preparing to make your first hire? If yes, plan the Phase 2 salary increase to coincide with that transition. If still solo and revenue justifies it, consider \$40k-\$50k as a stepped increase.

MONTH 18+ REVIEWS

Tied to phase progression. Each new phase brings a salary range. Move within those ranges based on actual business performance, not aspirations.

FINAL WORD

Your goal isn't to pay yourself \$100k from the business as fast as possible. Your goal is to build a business that pays you \$200k+ sustainably for years. Patience in Phase 1 is what makes that future real.

SUMMARY DASHBOARD

Year-by-year compensation outlook

YEAR	BUSINESS SALARY	FIREFIGHTER	TOTAL MONTHLY	TOTAL ANNUAL
Year 1	\$30,000	\$250,000	\$280,000	\$3.36M
Year 2	\$60,000	\$250,000	\$310,000	\$3.72M
Year 3	\$100,000	\$250,000	\$350,000	\$4.20M
Year 4	\$150,000	\$250,000	\$400,000	\$4.80M
Year 5	\$180,000	\$250,000	\$430,000	\$5.16M

*Notice that by Year 3, your business salary alone reaches your original \$100k target. By Year 5 it's **nearly double**. Combined with your firefighter income, you're earning over \$5 million JMD annually. That's where patience in Year 1 takes you.*

THE COMPOUNDING TRUTH

The detailers who pay themselves too much in Year 1 never reach Year 3. The ones who pay themselves disciplined amounts in Year 1 reach Year 5 with businesses that can support six-figure monthly compensation. The patience pays exponentially.

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